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Chapter 2

Style Purchase Management Overview



Introduction

A comprehensive Purchase Management system is necessary for controlling a cost effective and accurate supply of items. The Style Purchase Management application provides the necessary information and facilities in the following key areas:

- Order creation
- Order follow-up
- Container tracking
- Goods receiving
- Quality assurance
- Invoice matching
- Performance analysis

The application may be controlled and tailored to each company's requirements by use of profiles, parameters and tables. Any number of companies may be defined.

As organisations expand into international markets, multi-currency handling is essential and is integrated into this application.

Relationship To Other Applications

The Purchase Management application is a fully standardised Style application and operates under the control of System Manager.

The application is designed to be used in conjunction with the following Style applications:

- Inventory Management
- Purchase Ledger
- Purchase Requisitioning
- Warehousing

The Company Profile is used to identify the applications interfaced.

Inventory Management

Purchase Management is fully integrated with the Inventory Management application in an on-line mode.

'Companies' communicate with each other on a one-to-one basis, identified by the Company Code.

Where Inventory Management is installed, Purchase Management uses the Inventory Management Item Master for the specification of items. On order and physical stock balances are maintained by Purchase Order Entry and Receiving functions.

Purchase Management writes inventory movements, and maintains actual cost details in the Inventory Management application.

Purchase And General Ledgers

The Style Purchase Management application is fully integrated, on-line, with the Purchase Ledger. The integration of Purchase Management, Purchase Ledger and General Ledger is controlled as follows:

- It is possible for many Purchase Ledger companies to interface to one General Ledger company. The Purchase Ledger Company Profile defines the General Ledger company to which the Purchase Ledger company interfaces.
- The Purchase Management Company Profile defines a General Ledger Company Code for 'interface' purposes. The Purchase Management company will interface with any Purchase Ledger company which links to this General Ledger. As a result, a single Purchase Management company may link to many Purchase Ledger companies.

Purchase Management uses the standard Purchase Ledger supplier data and provides facilities for matching receipts with Purchase Ledger items.

Purchase Requisitioning

The Purchase Management application is fully integrated with the Purchase Requisitioning application.

Companies communicate with each other on a one-to-one basis, identified by the company code.

The Purchase Requisitioning application shares Master File data with and creates order details in the Purchase Management application.

Warehousing

The Purchase Management application performs internal checks to determine:

- If the Warehousing application is installed.
- If the Company/Stockroom being processed is defined to the Warehousing application.

If so, when goods are received or transferred into stores a window is displayed for Warehousing specific information to be entered. This includes packing code, and expiry date (for consumables). These items are then automatically processed by the put-away routines in Warehousing, which decide where the items are to be located.

Configuration

As with all Style applications, Purchase Management can be operated for a number of companies, the characteristics of each being maintained on the Company Profile.

The primary information maintained on the Company Profile is:

- Application set-up parameters
- Currency defaults
- Output queues for reports
- Interfaces to other applications
- Order numbering
- Goods Received Note (GRN) numbering
- Debit note numbering
- Purchasing officer number range
- Item class range
- Requisitions system options

These default values improve efficiency of data entry, provide the parameters for the generation of document references, provide specification of the technical environment, and enable set up of ranges for data integrity checking.

Maintenance Of Reference Data

Purchase Management uses Master File data set up in other Style applications. However, there are some Master Files which are set up specifically for the application.

Information for the following may be maintained:

- Item Specifications
- Purchasing Officer names
- Item Supplier Profiles
- Delivery Instructions
- Receiving Addresses
- Supplier External text
- Parameters and Sundry Codes
- User Authorities
- Container details

Item Specifications

Where Style Inventory Management is not installed, item specifications are set up in Purchase Management. These specifications detail classification, description, associated nominal account codes, unit of measure details, VAT Code and alternative/supersession data. Text may also be maintained for the item, which may be optionally added to the purchase order line in order entry.

Purchasing Officer Names

Detail is held of the company's officers and/or planners who use this application. This is then recorded against each order, and is a displayed item on the application's enquiries.

Item Supplier Profiles

For each supplier of an item, an item/supplier profile is required. The profile includes price, ordering rules, lead time and supplier reference details.

A cumulative total of orders placed and receipts are also maintained by the application for each item/supplier profile.

Delivery Instructions

A set of delivery instructions may be maintained for each company. Each set of instructions is identified by a three character code and comprises up to three lines of text.

The delivery instruction code can be selected at order entry, and is then subsequently printed on the purchase order form.

Receiving Addresses

A set of receiving addresses may be maintained for each company. Each one comprises a name, and up to five lines of address.

The code may be selected at order entry, to specify the address to which the goods are to be sent. Otherwise, it defaults to the receiving address code set on the Company Profile.

Supplier External Text

For each supplier, up to 99 lines of text may be maintained. At order entry, this text can optionally be selected for printing on the order.

Parameters And Sundry Codes

A number of parameters should be maintained for each company. These are used to control the application and to tailor it to the company's requirements. These parameters include:

- Unit of measure codes
- Item Classifications
- Order Classifications
- Scrap Reason Codes
- Schedule Order Types
- User Defined Fields
- Warehouse Codes

User Authorities

Access to Purchase Management procedures is controlled by the standard authorisation features of System Manager. The application does provide an additional level of user authorisation within certain procedures.

Authority levels may be set for standard user profiles. These authority levels limit the ability of the user to:

- Under receive an order and specify that the order is complete
- Over receive an order
- Match a purchase invoice at a price greater than that specified for the order

The authority levels are set as absolute values, or as percentages of the relevant order line value.

Container Details

Any number of containers may be maintained for each company. Each one comprises of data such as shipping information, tariff codes, weight, letter of credit, receiving port and expected dates. A purchase order is then attached to a container before goods receipt can be actioned.

Processing

The normal day-to-day processing in Purchase Management can be divided into three types of tasks:

- Creating Orders.
- Receiving Goods.
- Matching invoices to goods received.

Creating Orders

Purchase orders can be created by two different methods:

By generating purchase orders from requisitions via the facility in the Requisitions application.

OR

By entering the purchase order directly into the Purchase Management application via Order Entry.

Order Creation From Purchase Requisitioning

Purchase requisitions may be created from any of the applications shown below, and then transferred into purchase orders.

- Inventory Management
- Distribution Requirements Planning
- Purchase Requisitioning
- Purchase Management
- Material Requirements Planning
- Manual Entry

The creation of purchase orders from Purchase Requisitioning may be done selectively for any of the following:

- Release flag
- Supplier
- Purchasing Officer
- Order Class
- Stockroom

Separate purchase orders can optionally be created on change of supplier and/or purchasing officer. The rules governing this are specified on the Purchase Management Company Profile.

Order Entry

The entry of a purchase order can be broken down into three stages - Header, Items and Options.

When entering the Order Header, the following information can be specified as:

Order Class

Specifies if the order is for stocked items, non-stocked items, or services.

Order Type

Defines whether the order is of a normal (single delivery per line), scheduled, or blanket type.



Note: A 'Scheduled' order is a firm commitment with a supplier for quantities to be delivered on specified dates. Multiple deliveries are expected for each line. A 'Blanket' order is similar to a scheduled order but the commitment to quantities and dates is only provisional. It is processed in the same way as a scheduled order within this application.

Other details specified on the order header are:

- Order Date
- Order Number
- Purchasing Officer
- Department
- Discount
- Job Number

When adding items to the order, the standard Inventory Management alpha search is available for identifying and selecting the correct item.

The supplier's item reference, unit of measures, price and discounts are defaulted for the item, but may be changed. However, for non-stocked items there are no defaults for price or units.

Upon entry of the style number, a matrix is displayed to allow quantity entry against individual colour \ size options. Nominal cost code, job number and department may also be entered for each item or style.

Options are available when completing each order to:

- Enter further orders or return to the menu.
- To print or fax the order.
- To use existing external supplier text or not.
- To add new text for printing on the order, i.e. external text.
- To add new text for display only, i.e. internal text.

- To cancel the whole order.

Full amendment facilities are available on outstanding orders, and an audit trail is provided of amendments made.



Note: New orders are detailed on the New Orders Audit report. This list can act as an authority document prior to printing the order. Further, this audit must be produced prior to receipts being processed against the order.

Receiving Goods

All goods or services received must be covered by a purchase order.

To enable the correct purchase order to be processed, all outstanding orders by item or supplier can be viewed. Furthermore, if the item code and supplier code are unknown, searches are available for these. Obviously, the purchase order number or container number may be entered directly, if known.

Goods may be received in up to three locations:

- Goods Inwards
- Inspection
- Stores

For stock items, Inventory Management is only updated when receipt (or transfer) is made to stores. Items may be subsequently moved from their original receipt location using the Transfer Goods Location option in this application.

In recording the receipt, the whole order may be received in its entirety. Alternatively, the receipt can be done line by line, with partial receipts allowable.

The user's authority is checked before under/over delivery can be accepted.

If the receipt is made into stores location and the Warehousing application is installed, a window is displayed for entry of package code (and expiry date for consumables).

Both internal order and order line text may be updated at the receiving stage.

The Goods Receipt Note (GRN) may be printed along with labels if required. GRN numbers may be automatically generated. These GRN options are specified on the Company Profile.

Once the goods have been received, the following facilities within this application can be used to attain high levels of Quality Assurance:

- Transfer of goods into or out of inspection
- Return of unwanted goods, with optional replacement
- Scrapping of faulty goods, with analysis by Reason Codes
- Optional creation of rejection notes
- Ability to match a credit note to a return, at a later date

Invoice Matching

Invoice matching is designed to close the loop between the Purchase Ledger application and the Purchase Management application by providing matching of receipts with invoices or credit notes on the Purchase Ledger Log.

The Invoice Matching routine performs two basic functions:

- Receipts within the Purchase Management application are flagged as having been matched with invoices. The pricing details are stored in Purchase Management for future analysis in the supplier performance and price variance reports.
- Invoice Log records in the Purchase Ledger are flagged as matched, and dissections to the appropriate nominal codes are set up.

Invoices, credit notes and journals on the Invoice Log may be matched against any number of advice notes and parts of advice notes.

A report of outstanding advice notes by supplier is available to assist Invoice Matching.

Once invoices have been matched, there is a separate facility in the Purchase Ledger which must be used to transfer the invoice from the Log to the Purchase Ledger proper. A report of matched invoices (on the Invoice Log) is available to trigger release of these invoices into the Purchase Ledger.

Text may be entered, reviewed and amended against the Invoice Reference at the time of matching.

An audit trail of Invoices Matched may be printed if required.

Where the Invoice Log is not in use, receipts within Purchase Management may be matched using the 'stand-alone' matching procedure. This procedure is similar to standard matching, but involves no interface to the Purchase Ledger Log.

Interface To General Ledger

Purchasing interfaces to JBA General Ledger can be made in the following ways:

- Goods Receipt/Adjustment
- Match Invoice to Receipt

Goods Receipt

At this point stock is updated within the General Ledger with a contra-posting to the accrual accounts. The account codes used are defined against the item within inventory.

In addition any landed costs are posted separately to the General Ledger at receipt stage.

Invoice Match

This function will back out the postings for stock and accruals made at goods receipt stage. These postings are replaced by postings for stock, debtors and price variance.



Note the back out of stock and accruals is done directly from invoice match but the replacement postings for stock, debtors and price variance do not update the general ledger until the purchase ledger log is posted to the General Ledger.

Enquiries

Enquiries may be grouped into four categories:

- Outstanding Order Searches
- Order Details
- Sources of Supply
- Financial

Outstanding Order Searches

Multiple routes are provided for identifying an outstanding purchase. Enquiries exist by:

- Item
- Supplier
- Job Number
- Supplier Item Reference
- Purchasing Officer
- Container

Order Details

Once the relevant purchase order has been identified, an enquiry exists to display details of that order. Each line can then be selected to show receipts to date along with other line details.

Sources Of Supply

Enquiries are available to satisfy these questions:

Which suppliers supply this item?

Which items have been bought from this supplier?

These enquiries are known as 'Where bought?' and 'What bought?' respectively.

Financial

An enquiry exists to display the details of an invoice, including the value matched and matched receipt details. Also available is an enquiry on outstanding orders for a given Cost Code.

Reports

As part of the general policy of Style applications, before a report is run selection and sequencing parameters are normally available.

In general, standard reports are printed on standard listing paper with 132 print positions and six lines to the inch. In Purchase Management the printing of orders, goods receipt notes and labels are made on special stationery.

The reports in Purchase Management can be grouped into one of six categories:

- Actions
- Status
- Analysis
- Audits
- File Lists
- Exceptions

Actions

These reports are used to trigger actions to be taken, and are necessary to progress an order through the application:

- New Orders Report
- Print Orders
- Print GRNs/labels

Status Reports

These show the current position of purchase orders within the application:

- Order Pre-print
- Deliveries Due
- Order Confirmation
- Advice Notes not Invoiced
- Accruals (Receipts not Invoiced)

Analysis

A selective overview of the Purchase Management function, and also how effectively it performs, is provided by:

- Receipts and returns
- Goods Value by Location
- Price Variance
- Supplier Performance
- What bought
- Where bought
- Order Value by Cost Code
- Purchase Commitment
- Container

Audits

The following audits are provided for processing functions in Purchase Management:

- Order Amendments
- Receipts and Returns

File Lists

Full file listings may be requested for the following:

- Item Specifications
- Purchasing Officers
- Receiving Addresses
- Delivery Instructions
- Parameters and Sundry Codes
- User Authority Values

Exceptions

These include discrepancies within the database which may need actions to rectify.

- Item/Supplier Profile exception report
- Order File exception report

Pre-Requisites

Applications

For the basic operation of Purchase Management, only System Manager is pre-requisite.

However, the application is designed to be used in conjunction with the following:

- Inventory Management
- Purchase Ledger

If the Style Inventory Management application is not installed, then all purchased items must be maintained within Purchase Management.

If the Purchase Ledger is not fully installed, then at least the Supplier Master and Currency Rate data of the Purchase Ledger must be maintained.



Note: If the Purchase Orders are to be sent directly to the Supplier via a Facsimile transmission, then the Fax module is a pre-requisite (This is called Cobwebb and is only applicable to the AS/400 systems). This handles the actual transmission of the fax once it has been created via Purchase Management, and is available from your software support organisation.

Data

Prerequisite data includes supplier definition, currency rate set up and item definition. For more information see Supplier, Currency and Items.

Supplier

The Suppliers to be referenced in Purchase Management must be defined on the Supplier Master File. This is maintained within the Purchase Ledger.

Currency

If applicable, current rates for all relevant currencies must be set up, using the General Ledger functions.

Items

All items to be included in Purchase Management must be defined to Style Inventory Management, if installed.

Otherwise, the item must have a specification defined within Purchase Management.

Application Configuration

This describes the way you wish to set up various profiles within the application. For more information see:

- Companies
- Item Specifications
- Purchasing Officers
- Item Supplier Profiles
- Delivery Instructions
- Receiving Addresses
- Supplier External Text
- User Authorities
- Parameters And Sundry Codes
- Fax Numbers

Companies

For each company to be processed within Purchase Management, a profile record must be maintained within the application.

The primary information maintained per company is:

- Company name
- Default Supplier Address Code
- Default Currency Rate Codes
- Output Queues for Reports
- Interfaces to other Applications
- Order Numbering
- Goods Receipt Note (GRN) Numbering
- Debit Note Numbering
- Purchasing Officer Number Range
- Requisitions Options, (where Requisitions application is installed)
- Default Goods Receiving Booking-In-Point
- Receipt Time Fence Number of Days
- Dummy Items, (for Delivery Instructions)
- Dummy Supplier, (for Receiving Addresses)

Within each company, the Reference Data described in the remainder of this section must/may be maintained.

Item Specifications

Each item must have a specification within the Purchase Management application, if the Style Inventory Management application is not installed for this company.

Purchasing Officers

If items are to be controlled by their respective Purchase Officers, then definitions must be maintained per officer.

Item Supplier Profiles

For each supplier of an item, a profile is required within the application. These may be set up 'in flight' in order entry, or maintained as part of the initial data set up.

Delivery Instructions

A set of delivery instructions may be maintained per company. Each set is identified by a three character code and comprises of up to three lines of text to be printed on the Purchase Order (when selected).

Receiving Addresses

A set of receiving addresses may be maintained per company. Each set is identified by a three character code and comprises of up to five lines of address to be printed on the Purchase Order (when selected).

Supplier External Text

For each supplier, up to 99 lines of text may be maintained, to be printed on the order when selected.

User Authorities

For each user ID (defined to System Manager) which will be used to access the application, a value and percentage of order line value may be maintained. These are used to check in Goods Receiving and Invoice Matching if the user has sufficient authority to accept an under/over delivery, or a price greater than that specified for the order.

Parameters And Sundry Codes

A number of Parameters must be maintained for each company. These include:

- Unit of measure codes
- Item classifications
- Order classifications
- Scrap reason codes
- Schedule order types
- Stockroom codes
- User defined fields

These are used to tailor the application to meet the company environment.

Fax Numbers

If purchase orders are to be faxed, rather than printed, then fax numbers must be maintained for the relevant suppliers.

Implementation Critical Path

After installing the software provided, the recommended steps for implementing Purchase Management are outlined as follows:

- Define Company Profile options.
- Create Company Profile.
- Initialise Parameter and Sundry Codes file.
- Design the units of measure table (including conversion factors).
- Define stockroom codes (for non-stock orders).
- Define order classifications.
- Define schedule order types.
- Define scrap reason codes.
- Define item classifications (where Inventory Management is not in use).
- Define user controlled fields for order entry.
- Create parameter and sundry codes.
- Define user authority values and create them.
- Define and create currency rates (unless these have already been set up in the Purchase Ledger).
- Create Purchasing Officer definitions.
- Create supplier master file (if Accounts Payable is not installed).
- Create item specifications (if Style Inventory Management is not used).
- Create item/supplier profiles. These may also be created in Order Entry.
- Define and create delivery instructions sets.
- Define and create receiving addresses.
- Optionally create extended purchase text for:
 - Items
 - Items/Suppliers
 - Suppliers
- Optionally set up Supplier Fax numbers.